



Anti-Money Laundering and Combating Terrorist Financing Policy

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Published 7/13/2022

Introduction

It is CPCS' policy to prohibit and actively prevent, in the course of its business, money laundering or terrorist financing by complying with:

- section [462.31\(1\)\(Laundering proceeds of crime\)](#) and sections [83.02 – 83.04\(Financing of Terrorism\) of the Criminal Code](#); and
- the applicable requirements of the [Proceeds of Crime \(Money Laundering\) and Terrorist Financing Act](#) and its implementing regulations.

CPCS has a zero tolerance policy towards money laundering or terrorist financing and is committed to the highest level of openness, integrity and accountability in that regard. The criminal penalties for these offences are severe. In addition, there would be significant reputational damage for CPCS.

This policy applies to CPCS Transcom Limited, its affiliates, and to the respective staff (employees and exclusive associates) of these companies. It sets out in particular the procedure to be followed by CPCS and its staff if money laundering or terrorist financing is suspected.

Any breach of this policy by staff will be considered a serious matter and is likely to result in disciplinary action up to, and including, dismissal.

What is money laundering?

The United Nations defines money laundering as “any act or attempted act to disguise the source of money or assets derived from criminal activity.” Essentially, money laundering is the process whereby “dirty money”— produced through criminal activity— is transformed into “clean money,” the criminal origin of which is difficult to trace.

There are three recognized stages in the money laundering process.

- *Placement* involves placing the proceeds of crime in the financial system.
- *Layering* involves converting the proceeds of crime into another form and creating complex layers of financial transactions to disguise the audit trail and the source and ownership of funds. This stage may involve transactions such as the buying and selling of stocks, commodities or property.
- *Integration* involves placing the laundered proceeds back in the economy to create the perception of legitimacy.

The money laundering process is continuous, with new dirty money constantly being introduced into the financial system.

Under Canadian law, a money laundering offence involves various acts committed with the intention to conceal or convert property or the proceeds of property (such as money) knowing or believing that these were derived from the commission of a designated offence. In this context, a designated offence means most serious offences under the Criminal Code or any other federal Act. It includes, but is not limited to those relating to illegal drug trafficking, bribery, fraud, forgery, murder, robbery, counterfeit money, stock manipulation, tax evasion and copyright infringement.

A money laundering offence may also extend to property or proceeds derived from illegal activities that took place outside Canada.

What is terrorist financing?

Terrorist financing provides funds for terrorist activity. The main objective of terrorist activity is to intimidate a population or compel a government to do something. This is done by intentionally killing, seriously harming or endangering an individual or causing substantial property damage that is likely to seriously harm people. It can also be done by seriously interfering with or disrupting essential services, facilities or systems.

Terrorist activity is undertaken for political, religious or ideological purposes. This does not mean that an expression of political, religious or ideological beliefs alone is a terrorist activity, unless it is part of a larger conduct that meets the definition explained above.

Terrorists need financial support to carry out terrorist activities and achieve their goals. In this respect, there is little difference between terrorists and other criminals in their use of the financial system. A successful terrorist group, much like a criminal organization, is one that is able to build and maintain an effective financial infrastructure. For this, it must develop sources of funding and means of obscuring the links between those sources and the activities the funds support. It needs to find a way to make sure that the funds are available and can be used to get whatever goods or services needed to commit terrorist acts.

The fundamental aim of terrorist financing is to obtain resources to support terrorist activities. The sums needed to mount terrorist attacks are not always large and the associated transactions are not necessarily complex.

CPCS Obligations

CPCS as part of this policy and for the purposes of enforcing it undertakes to:

- Appoint an AML/CFT Compliance Officer to receive, consider and report to the relevant Canadian authorities, as appropriate, the disclosure of any suspicious activity reported by staff;
- Implement a procedure to enable the reporting of suspicious activity;
- Maintain Client and Partner identification procedures to “know your customer”, in relevant circumstances;

- Maintain adequate records of transactions; and
- Train its staff annually.

Staff Obligations

Canadian AML/CFT legislation applies to all CPCS staff. Any staff could be committing an offence under Canadian AML/CFT legislation if they suspect money laundering or terrorist financing or if they become involved in some way and do nothing about it. If any staff suspects that money laundering or terrorist financing is or has taken place or if any staff becomes concerned about their involvement it must be disclosed as soon as possible to the AML/CFT Compliance Officer. Failure to do so may result in you being personally liable to prosecution. Guidance on how to raise any concerns you may is included below in this policy document.

Appointment of an AML/CFT Compliance Officer

CPCS has designated Mohammed Musa VP Finance (musa@cpcs.ca) as its AML/CFT Compliance Officer. The AML/CFT Compliance Officer is vested with full responsibility and authority to enforce this policy.

The duties of the AML/CFT Compliance Officer will include monitoring CPCS' compliance with its AML/CFT obligations, overseeing training for staff, receive from staff reports of any suspicious activity, consider such reports and, if warranted, relay those reports to the appropriate enforcement authorities, and ensure that CPCS keeps and maintains all of the required AML/CFT records.

Training Program

Under the general supervision of the AML/CFT Compliance Officer, CPCS will develop ongoing employee training under the leadership of the HR Manager and of the Corporate Affairs Manager. Our training will occur on an annual basis. It will be based on our company's size, its Clients' and Partners' base, and its resources and will be updated as necessary to reflect any new developments in Canadian AML/CFT legislation.

All new staff who joins CPCS will be asked to undergo AML/CFT training within the first month of their employment with CPCS.

Our training will include, at a minimum: (1) how to identify red flags and signs of money laundering and financing of terrorism that arise during the course of the staff' duties; (2) what to do once the risk is identified (including how, when and to whom to escalate unusual Clients or Partners activity or other red flags for analysis and further action); (3) what staff' roles are in CPCS's compliance efforts and how to perform them; (4) CPCS' record retention policy; and (5) the disciplinary consequences (including civil and criminal penalties) for non-compliance with Canadian AML/CFT legislation.

The training will be a combination of in-house training and training from outside AML/CFT specialists. Delivery of the training may include educational pamphlets, videos, intranet systems, in-person lectures and explanatory memos. We will maintain records to show the staff trained, the dates of training and the subject matter of their training.

We will review our operations to see if categories of staff, such as Divisional VP, project managers and our accounting personnel, require specialized additional training.

Due Diligence Requirements – Know “know your customer”

For the purpose of this policy:

- “Client” includes any person who wishes to use the services of CPCS, but does not include an international organization, a multilateral development bank, a

national, state/provincial or municipal government or any agency or fully-owned enterprise of such government.

- Partners includes any:
 - person for whom CPCS acts as a sub-contractor in any given project or person acting as sub-contractor to CPCS; and
 - joint venture partner.

Before CPCS decides or not to work for a potential Client or associate with a potential Partner:

- Due diligence must be carried out on any such potential Client or Partner by the Divisional VP; and
- The completed CPCS Third Party Due Diligence Questionnaire (EN / FR) must be submitted to the Corporate Affairs Manager, with a copy to the AML/CFT Compliance Officer.

If a potential Client or Partner either refuses to provide the information requested of it, or appears to have intentionally provided misleading information, CPCS will not provide its services to that Client or associate with that Partner. CPCS will verify any information as is reasonable and practicable in any given situation.

Reporting of Suspicious Transactions

Disclosure procedure to be followed by all staff

Where you know or suspect that a money laundering activity or a terrorist financing activity is taking or has taken place, or you become concerned that your involvement in a transaction may amount to a breach of Canadian AML/CFT legislation, you must disclose this immediately to the AML/CFT Compliance Officer.

You should try to provide him or her, in written form, with:

- Full details of the persons and/or companies involved including yourself and other members of staff if relevant;
- Full details of the transaction and nature of each person's involvement in the transaction;

- Suspected type of money laundering or terrorist financing activity with exact reasons as to why you are suspicious;
- The dates of any transactions, where they were undertaken, how they were undertaken and the likely amount of money or assets involved;
- Any other information that may help the AML/CFT Compliance Officer judge the case for knowledge or suspicion of money laundering or terrorist financing or that may help to facilitate any report to the [Financial Transactions and Reports Analysis Centre of Canada \(FINTRAC\)](#).

Once you have reported your suspicions to the AML/CFT Compliance Officer you must follow any instructions given to you. You must not make any further enquiries unless instructed to do so by the AML/CFT Compliance Officer. At no time and under no circumstances should you voice any suspicions to the person(s) you suspect of money laundering or terrorist financing, nor should you discuss this matter with any colleagues.

Action and disclosure by the AML/CFT Compliance Officer

On receipt of a disclosure report from staff, the AML/CFT Compliance Officer will:

- Note the date of receipt and acknowledge receipt of it;
- Assess and advise the individual concerned when a response can be expected; and
- Consider the report and any other relevant information, undertaking further enquiries if necessary to decide if a report should be made to FINTRAC.

Once the AML/CFT Compliance Officer has evaluated the case, a timely determination will be made as to whether:

- There is actual or suspected money laundering or financing of terrorism taking place; and
- There are reasonable grounds to know or suspect that is the case.

Where the AML/CFT Compliance Officer concludes that the case should be disclosed to FINTRAC this needs to be done:

- In a timely manner;
- In the prescribed manner on a standard report format provided by FINTRAC

Where the AML/CFT Compliance Officer concludes that there are no reasonable grounds to suspect money laundering or terrorist financing then consent will be

given for transactions to proceed, if applicable, and the disclosure report made by staff will be marked accordingly.

Providing voluntary information to FINTRAC

Staff remain free at all times to report directly to FINTRAC suspicions of money laundering or of terrorist financing by way of FINTRAC's web form.

Record Keeping

CPCS accounting department will keep those records required of accountants or accounting firms under the Proceeds of Crime (Money Laundering) and Terrorist Financing Act and its implementing regulations in the manner and for the period required under the Act and the regulations. These records are:

- Suspicious transaction report records;
- Large cash transaction records;
- Receipt of funds records; and
- Reasonable measures records.

Conclusion

Instances of suspected money laundering or terrorism financing are likely to be rare given the nature of services provided by CPCS which are, for the most part, the provision of consultancy services to Governments paid by said Governments or by multilateral development bank on their behalf.

Without limiting the scope of applicability of this policy, special vigilance from CPCS and its staff is required when we are providing services to private clients, when participating in a joint ventures or when acting as subcontractors to others. Any suspicions of AML/CFT relating to the services provided to these parties will also be reported to them.

